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BUSINESS STRATEGY 30060 – MANAGEMENT

Management Book – Chapter 10



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AGENDA

1. BUSINESS-LEVEL STRATEGY
2. DIFFERENTIATION STRATEGY
3. COST-LEADERSHIP STRATEGY
4. THE FIVE FORCES: BENEFITS AND RISKS
5. CONCLUDING CASE: GILLETTE IN 2017
6. SUMMARY OF MAIN POINTS

1.0

BUSINESS-LEVEL STRATEGY



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We define **BUSINESS-LEVEL STRATEGY**

The goal directed actions managers take in their quest for competitive advantage when competing in a single product market.

Managers need to answer to 4 questions:

WHO

are the customers?

WHAT

customers needs/wishes/desires will we satisfy?

WHY

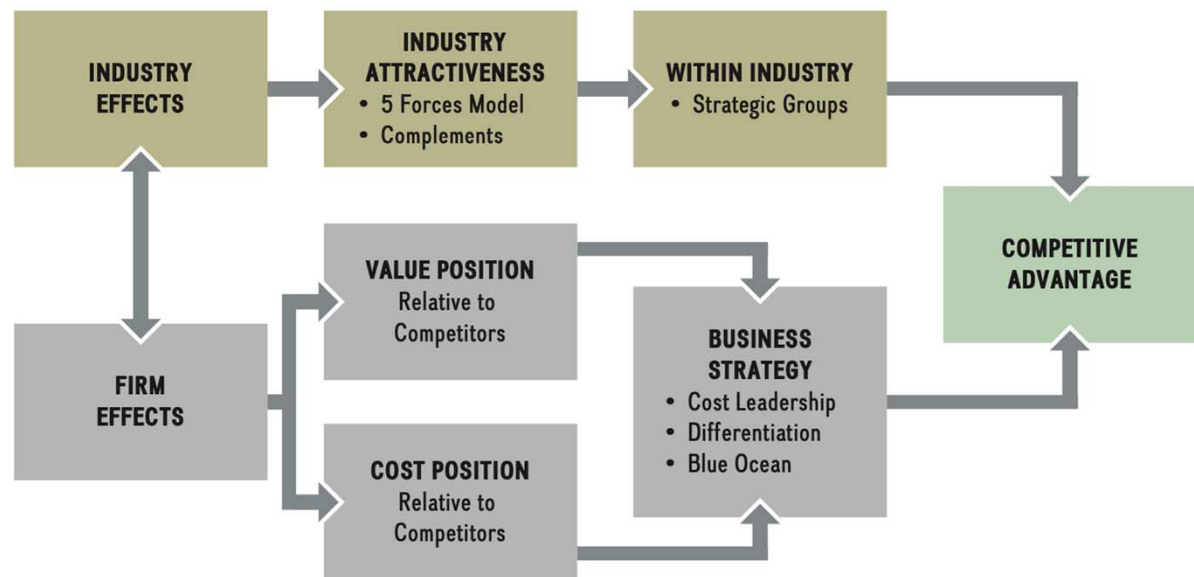
do we want to satisfy them?

HOW

will we satisfy them?

Industry & Firm effects jointly determine Competitive Advantage

At the firm level, performance is determined by Value and Cost positions relative to competitors



Incident **jetBlue** : The story

- JetBlue was founded by David Neeleman in 2000
- In its early years, JetBlue used value innovation to drive up perceived customer value even while lowering operating costs
- Between 2007 and 2015, JetBlue faced several emergency landings, erratic pilot, and bad crew behaviors
- In 2007, JetBlue was forced to cancel about 1,600 flights, and David Barger became CEO
- In 2015, JetBlue was lagging the Dow Jones Index, and Robin Hayes was appointed CEO
- In 2017, JetBlue ranked dead last in the annual WSJ survey of U.S. airlines
- In 2019, JetBlue became the 6th largest Airline company in the U.S., offering approximately 1,000 flights daily, employing 22,000 crew members, and servicing 42 million customers annually

Incident jetBlue

Since the beginning, JetBlue pursued a **Blue Ocean Strategy** combining:

Differentiation strategy

Perceived Customer value in service offerings:

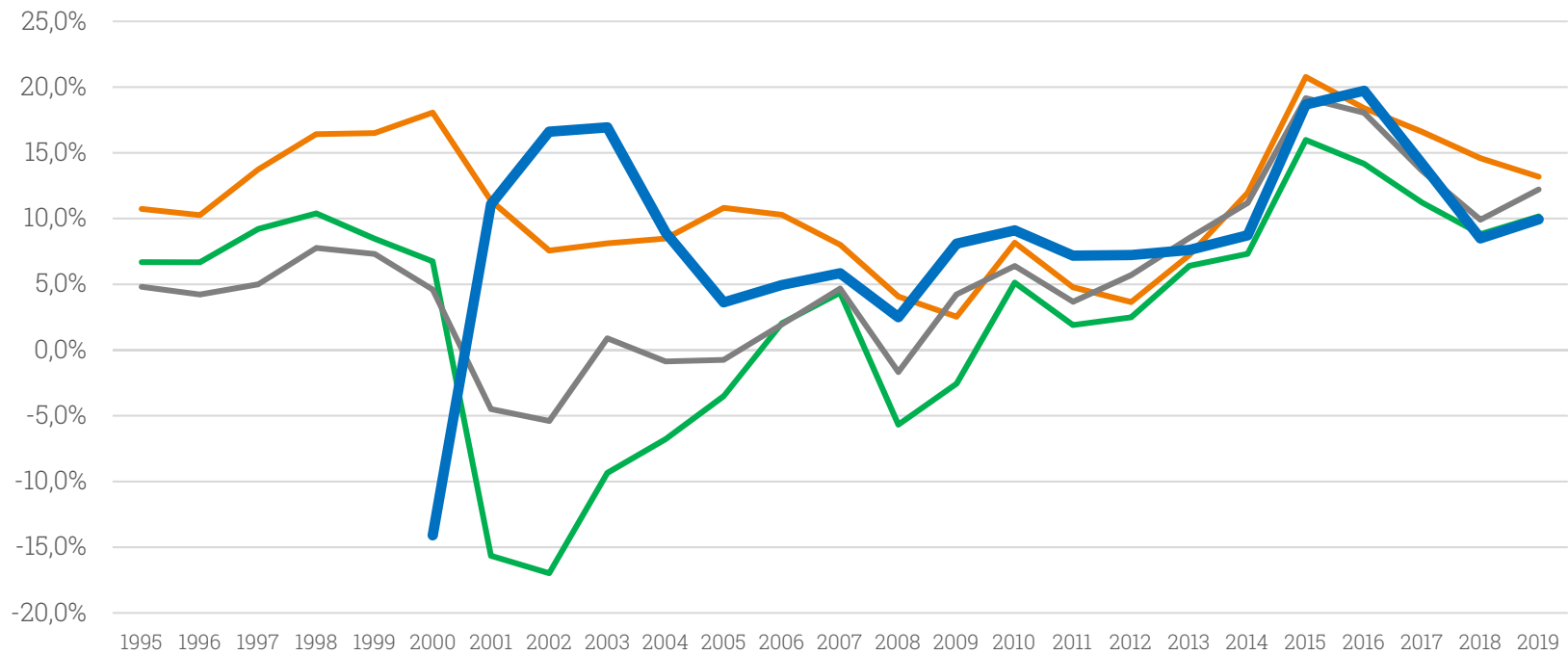
- Functional website with all travel related services
- Hired work-from-home live agents
- High-end flight with multiple amenities (Mint class)
- Additional free services

Cost-Leadership strategy

Low operating costs:

- 1 type of Airplane (Airbus A-320), lowering training and maintenance costs
- Point-to-point model by directing connecting fewer but highly trafficked city pairs: flying longer distance and transporting more passengers
- Lower-cost per available seat-mile in the U.S.

Operating margins of US airline companies



Generic Strategies

Differentiation Strategy

seeks to create higher value for customers by delivering products with unique features at similar cost but higher price.

Examples:



- Tesla offers highly differentiated products and pursues a small market segment.



- GM has a broad scope and ranges from the low-cost positioned Chevy brand (cost leadership strategy) to the differentiated Cadillac brand (differentiation strategy).



Cost-Leadership Strategy

seeks to create the same or similar value for customers at a lower cost.

Generic Business Strategies

Competitive scope is the size (narrow or broad) of the market in which a firm chooses to compete



Source: Adapted from M.E. Porter (1980), *Competitive Strategy. Techniques for Analyzing Industries and Competitors* (New York: Free Press).

Generic Business Strategies

Competitive scope is the size (narrow or broad) of the market in which a firm chooses to compete



US airline companies

2.0

DIFFERENTIATION STRATEGY



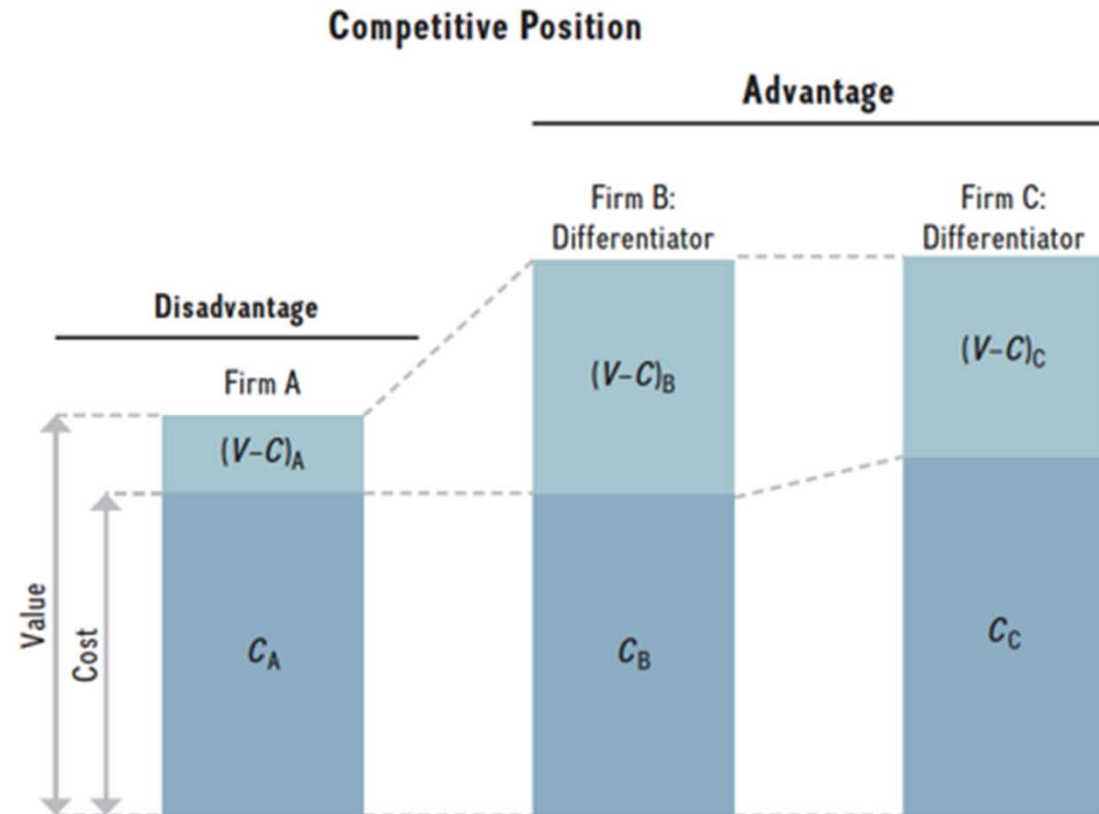
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The goal of **DIFFERENTIATION STRATEGY**

Add unique features that will increase the perceived value of goods and services in the minds of consumers so they are willing to pay a higher price.

Achieving Competitive Advantage

Differentiation strategy



Value drivers to improve firm's strategic position

Product Features



OXO utensils with ergonomically designed soft black rubber grips

Customer Service



Zappos' superior customer service by offering free shipping both ways

Complements

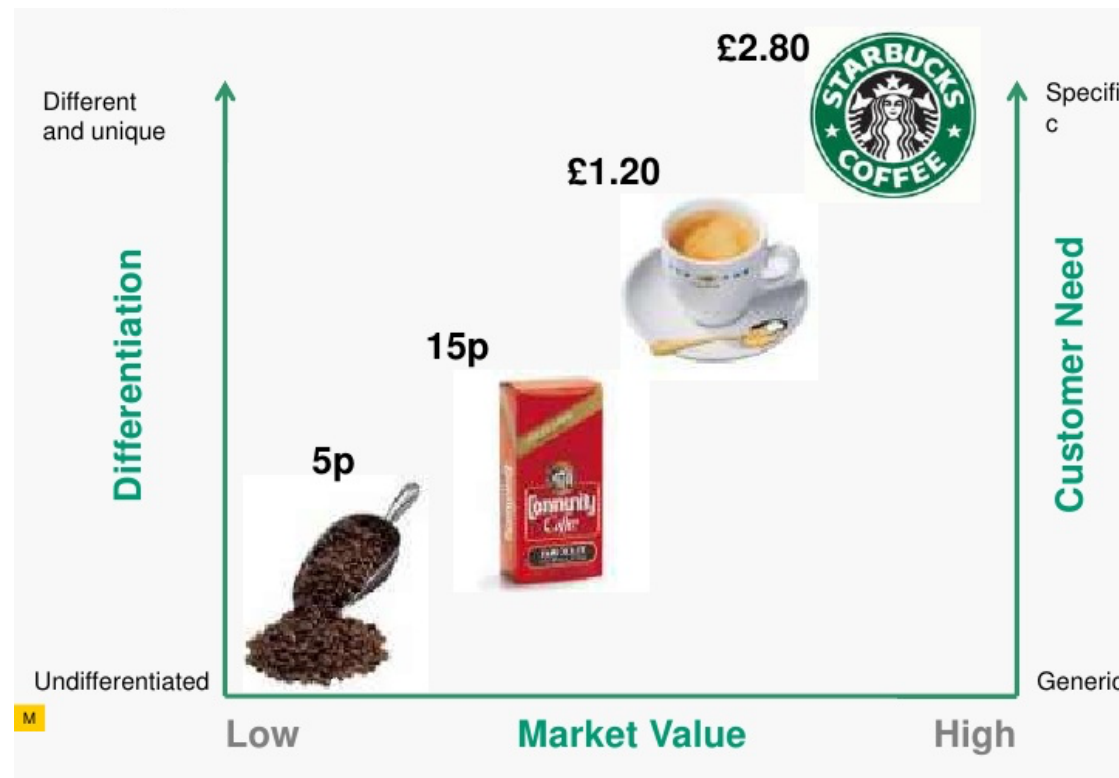


Vodafone, Tim, H3G: Smartphones and Cellular services

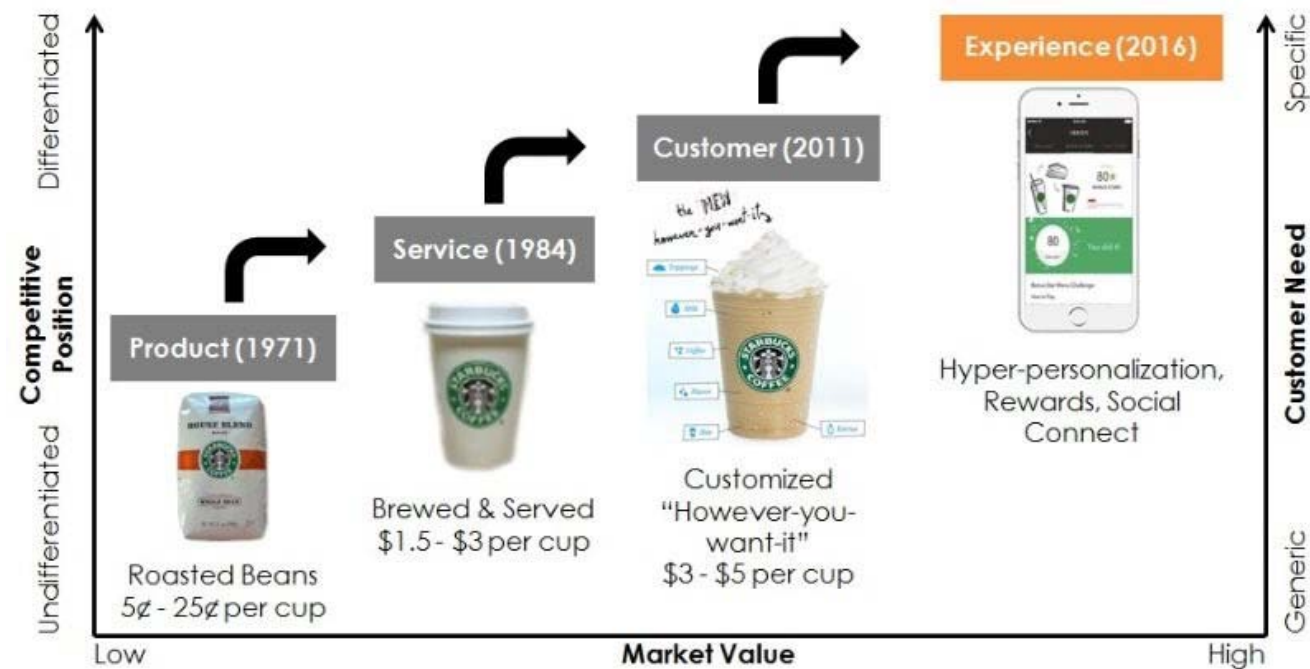


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Coffee – evolution of a commodity product



Starbucks – differentiation strategy



Why are consumers willing to pay more than 1,000 USD for an Iphone?

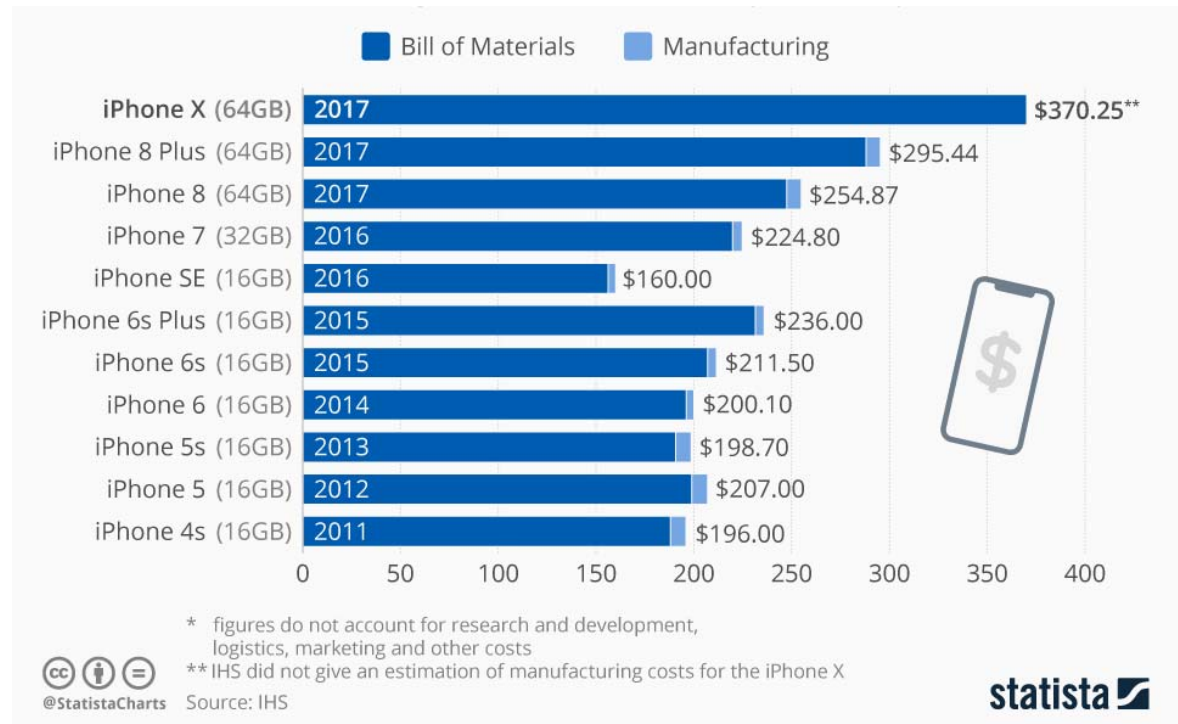
Some good reasons to spend 1,000 USD for a smartphone

- Product design
- Aesthetics
- Functionality
- Quality
- Durability
- Timely delivery
- Service



The cost of making the iPhone X

Estimated direct manufacturing costs of the iPhone X compared to its predecessors'



Yet,
willingness to
pay of some
customers is
even higher



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You can get your iPhone X on launch day if you're willing to pay the price



Chris Smith [@chris_writes](#)

October 27th, 2017 at 6:50 AM

Share

Tweet

Apple kicked off iPhone X preorders on Friday around the world, and the handset [sold out within minutes](#). Ship times slipped to 1-2 weeks in less than five minutes after preorders went live in the US, and quickly dropped to 2-3 weeks in international markets. Delivery estimates continued to worsen, falling to 4-5 weeks and then 5-6 weeks. That's bad news for many iPhone fans, who won't be able to get the handset next Friday. Some might not even get it in time for Christmas.

On the other hand, if money is no object, then you can purchase an iPhone X right now from sites like eBay and Craigslist.

Some iPhone X buyers are getting the handset just so they can resell it, and they'll charge you up to 100% premium on the handset. Prices may go even higher on auction sites like eBay thanks to the bidding systems.

The 64GB iPhone X sells for \$999, and the 256GB option costs \$1,149 if you order from Apple and carriers — these prices do not include taxes.

eBay [prices](#), meanwhile, will not be anywhere close to that. The highest rate for a 256GB iPhone X right now is at \$6,000, and that's for a phone that might ship on November 10th at best. One user is selling a 256GB AT&T iPhone X for \$5,000 and will ship it worldwide.

3.0

COST-LEADERSHIP STRATEGY



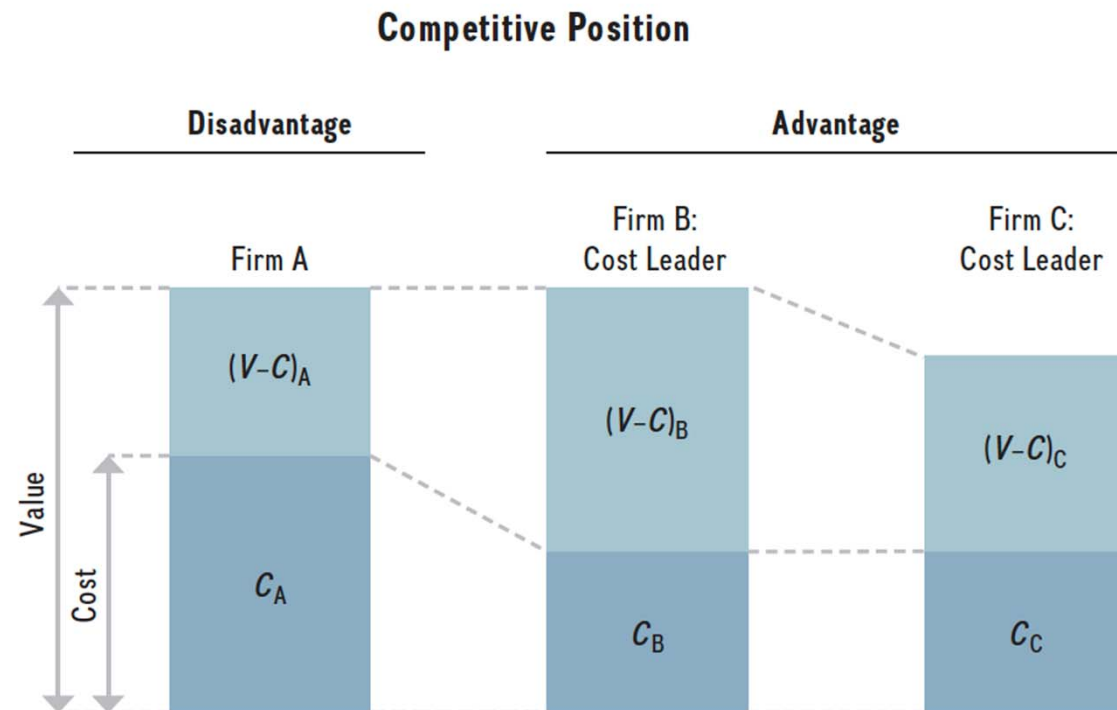
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The goal of **COST-LEADERSHIP STRATEGY**

Reduce the firm's cost to manufacture a product or to deliver a service below that of its competitors while offering adequate value.

Achieving Competitive Advantage

Cost-leadership strategy



Cost drivers to improve firm's strategic position

COST OF INPUT FACTORS

access to lower-cost input factors

LEARNING-CURVE EFFECTS

the technology remains constant
and cumulative output increase

ECONOMIES OF SCALE

decreases in cost per unit as output
increases

EXPERIENCE CURVE

the technology changes and the
cumulative output remains
constant

Production capacity

PRODUCTION CAPACITY (PC)

Maximum units of output that can be produced in a given period (time-frame), using current resources

CURRENT PRODUCTION CAPACITY (CPC)

Units of output that are produced in a given time-frame

DEGREE OF UTILIZATION OF PRODUCTION CAPACITY

The ratio of current production capacity to production capacity

Egea has a PC of 10.000 books a year, but its CPC is 7.000.
Compute the degree of utilization

Average unit cost

Ratio of production costs to actual quantity produced

$$\text{AUC} = \frac{\text{Total Costs}}{\text{Quantity produced}}$$

$$\text{Total Costs} = \text{Tot. Fixed Costs} + \text{Tot. Variable Costs}$$

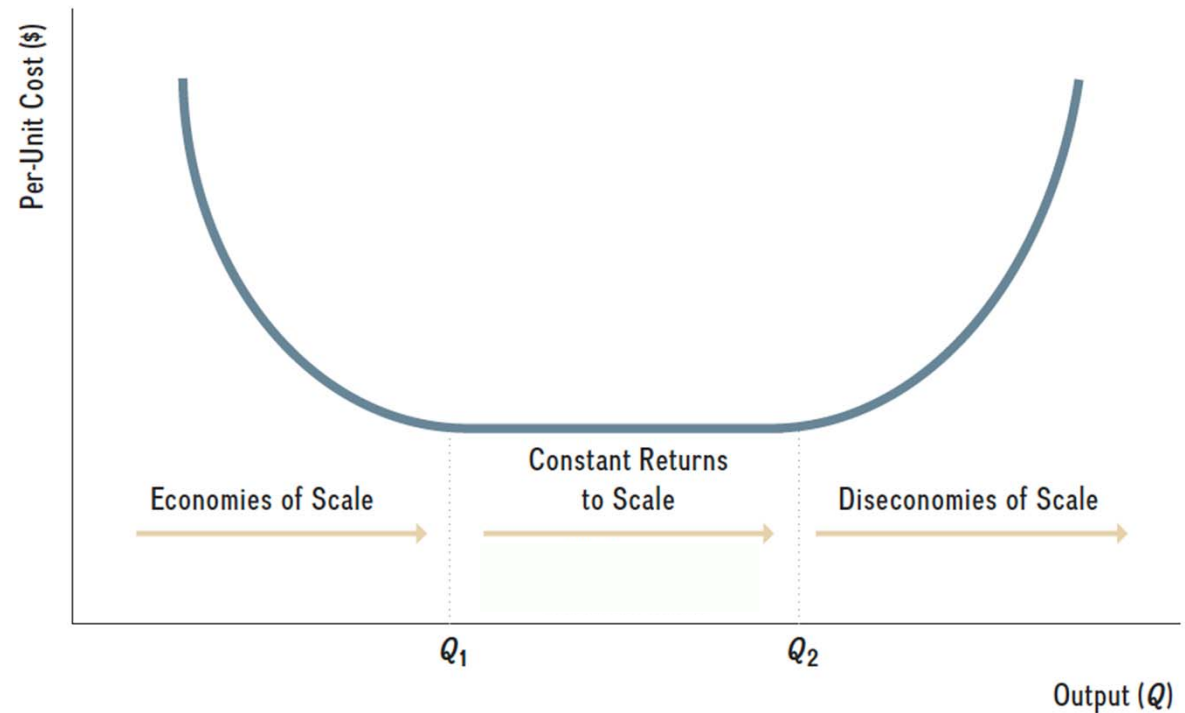


Building a classroom

	ROOM A (100 sq.m)	ROOM B (150 sq.m)
<i>PROF. DESK + PROJECTOR</i>	1*3.500=3500	1*3500=3500
<i>BOARD</i>	2*500=1000	2*500=1000
<i>TILES (60€ per sq.m)</i>	60*100=6000	55*150=8250
<i>PAINT (20€ per sq.m)</i>	20*100=2400	20*150=3000
<i>LAMPS (400 € each)</i>	6*400=2400	10*400=4000
<i>AIR CONDITIONING (800 € each)</i>	4*800=3200	5*800=4000
<i>WINDOWS (2000 € each)</i>	2*2000=4000	3*2000=6000
<i>DOORS (1800 € each)</i>	1*1800=1800	1*1800=1800
<i>DESKS (100 € each)</i>	100*100=10000	150*90=13500
TOTAL COSTS	34.300	45.050
AVERAGE COST	343	300,3

Economies of scale

Reduction in average unit costs that result from increasing the production capacity (under the assumption that utilization rate is the same)



Economies of Scale: Sources

INDIVISIBILITY OF CERTAIN OUTPUT

Even if production capacity is low, some inputs cannot be brought in sub-units. Hence, the related costs do not increase when PC increases (or increase less than proportionally) – one door, one professor desk

EFFECT OF SPECIALIZATION

Larger size means that resources can be employed in a more specialized way (e.g. a R&D department allocates people to specific projects; investing in specialized machines that enhance efficiency)

LOWER PER UNIT PURCHASING

Higher volumes > negotiate favourable prices for buying in bulk > for suppliers higher volumes means lower transaction costs (billing, administrative costs, transport and delivery etc.); higher bargaining power – i.e. you buy more desks for the classroom

Economies of Scale: Sources

EMPLOYING SPECIALIZED SYSTEMS AND EQUIPMENT

Larger output allows firms to invest in more specialized systems and equipment, such as ERP software or manufacturing robots.

Tesla's Model 3 high demand allow to employ robots but driving down costs.

TAKING ADVANTAGE OF CERTAIN PHYSICAL PROPERTIES

The volume of a body increases disproportionately more than its surface.

Walmart can stock much more merchandise and handle inventory more efficiently.

Economies of Scale: Risks

DISECONOMIES OF SCALE

Due to technical constraints, managerial complexity and transportation costs. A large facility becomes difficult to control ...

QUALITY

Again, in the classroom example, as the size increases, the quality of teaching may decrease (more difficult interactions etc.)

RANGE OF VARIATION

Remember: some costs do not vary in a certain range of volumes and then increase for other ranges (increasing classroom size from 150 to 200 may not increase cost a lot, but increasing to 400 does)

Fixed-Costs Absorption

Dividing fixed costs across larger units of output produced (given a production capacity)

We realize fixed-cost absorption economies by increasing the rate of utilization (for a given PC)

These economies are higher if fixed costs represent a larger fraction of total costs (e.g. industrial production as opposed to trade and intermediaries)

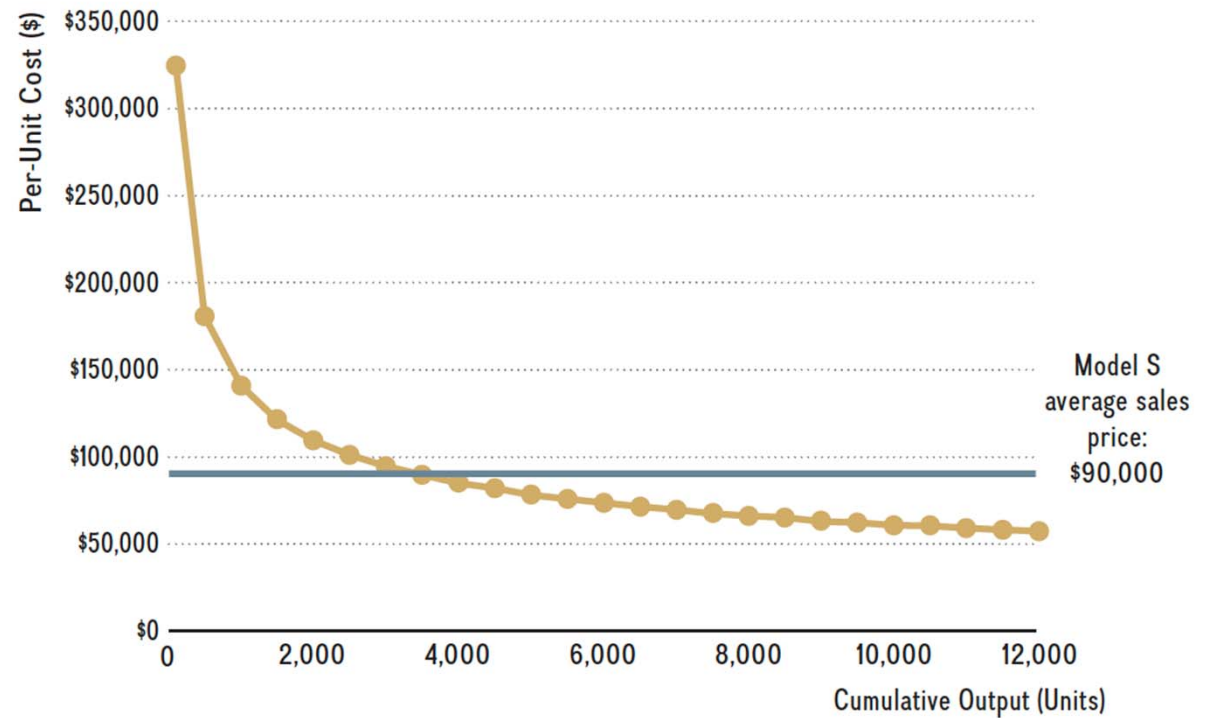
Economies of Scale vs Fixed-Costs Absorption

	AUC	PC	Degree of utilization
Economies of scale	↓	↑	=
Fixed cost absorption	↓	=	↑



Learning Curve

Tesla's per unit cost as cumulative output increases



LEARNING CURVE EFFECTS and LEARNING ECONOMIES

- Learning economies are incremental and predictable decrease in unit costs of output as the cumulative production volume increases
- In the late 1960s BCG began to emphasize the implications of the experience curve for strategy.
 - Some process and products have greater potential for improvement over time than others!
 - Greatest leverage at early staged of product lifecycle



Learning Economies: Sources

ENHANCED HUMAN SKILLS

The ability of people to learn to improve their work habits and perform assigned tasks more quickly and better. This applies to all employees and managers, not just to those directly involved in production

SIMPLIFICATION OF PRODUCTS & PROCESSES

When people gain experience regarding a certain product or production process, they can also grasp possible pathways to simplification, leading to greater efficiency at lower costs

BETTER SELECTION OF MATERIALS

Understanding which production resources are most appropriate for carrying out a given activity



Learning economies: Sources

HIGHER COORDINATION

People must interact and utilize different kinds of plants and equipment as they carry out the activities. With experience, individuals get to know one another and learn to work in teams and coordinate different processes

HIGHER PROGRAMMABILITY OF ACTIVITIES

Events become more predictable and response-time to non-standard circumstances is quicker and more effective. This makes it possible to plan processes more effectively by timing each operation, optimizing the mix of different production capacities, coordinating resources etc.

ECONOMIES of SCOPE

Economies of scope describe the savings that come from producing two outputs at less cost than producing each output individually, even though using the same resources and technology.



Economies of Scope Drivers

COMPLEMENTARITIES IN THE
PRODUCTION AND IN THE
DISTRIBUTION OF
PRODUCTS/SERVICES
(i.e. shared inputs)

DEPLOYMENT OF UNIQUE ASSETS
AND CAPABILITIES ACROSS
SEVERAL PRODUCTS
(e.g. brand reputation)

USE SAME ADVERTISING
CAMPAIGN FOR MULTIPLE
PRODUCTS

AMORTIZING EXPENSES RELATED
TO GENERIC R&D

CREATION OF EXIT BARRIERS AND
LOCK-IN EFFECTS FOR
CONSUMERS
(e.g. Apple's product ecosystem)

An Example: ARMANI

- Sells a broad array of products from clothes to shoes, watches, jewelry, cosmetics and home interior
- Products marketed under several specialized labels
- Sources of scope economies relate to intangible assets (brand advantage, corporate image, know-how)



4.0

THE FIVE FORCES: BENEFITS AND RISKS



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Differentiation vs Cost- leadership strategy

Competitive Force	Differentiation		Cost Leadership	
	Benefits	Risks	Benefits	Risks
Threat of entry	Protection against entry due to intangible resources such as a reputation for innovation, quality, or customer service	- Erosion of margins - Replacement	Protection against entry due to economies of scale	- Erosion of margins - Replacement
Power of suppliers	Protection against increase in input prices, which can be passed on to customers	Erosion of margins	Protection against increase in input prices, which can be absorbed	Erosion of margins
Power of buyers	Protection against decrease in sales prices, because well-differentiated products or services are not perfect imitations	Erosion of margins	Protection against decrease in sales prices, which can be absorbed	Erosion of margins
Threat of substitutes	Protection against substitute products due to differential appeal	Replacement, especially when faced with innovation	Protection against substitute products through further lowering of prices	Replacement, especially when faced with innovation
Rivalry among existing competitors	Protection against competitors if product or service has enough differential appeal to command premium price	- Focus of competition shifts to price - Increasing differentiation of product features that do not create value but raise costs - Increasing differentiation to raise costs above acceptable threshold	Protection against price wars because lowest-cost firm will win	- Focus of competition shifts to non-price attributes - Lowering costs to drive value creation below acceptable threshold

5.0

CONCLUDING CASE: GILLETTE IN 2017



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Gillette in the US

- The historical leader of cartridge razors in the US market
- Bought by Procter & Gamble (P&G) in 2007 for \$57 billion
- One of the most profitable P&G brands.
- It had always pursued a differentiation advantage, with devotion to quality (“The Best a Man Can Get”), constant introduction of better performing models, and premium prices
- However, Gillette’s share of US shaving market had fallen from 70% in 2010 to 54% in 2016



The competitors

Gillette was losing market share to private label brands and two new competitors: **Dollar Shave Club** and **Harry's**.

Dollar Shave Club (DSC)

- An online subscription service. It offered subscriptions for 2, 4, and 6-blade cartridges at prices ranging from \$3 to \$9 each. The razor was included for free with the first shipment.
- Basic but functional products made by Korean giant Dorco.
- DSC became famous in 2012 after it run an edgy advertisement on YouTube. It was subsequently bought by Unilever for \$1 billion in 2016.



DOLLAR SHAVE CLUB



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DSC's benefits for customers

- Convenience of auto-replenishment
- Low price
- Direct-to-consumer channel
- Irreverent and anti-establishment brand attitude



The competitors

Harry's

- Another subscription service, launched in 2013
- It sold two types of razor handles at \$10 and \$25 and offered replacement cartridges for about \$2 each
- "Quality" blades made in Germany, and nice packaging
- It integrated manufacturing and bought the blade factory in Germany
- Minimalistic "vintage" and hipster aesthetic
- It started selling its products in Target stores in 2016

HARRY'S

Harry's benefits for customers

- Convenience of auto-replenishment
- Affordable price (but not so low)
- Direct-to-consumer channel + availability in supermarkets
- Premium image



Prices in 2016

Razor Cartridge	Number of blades per cartridge	Price per cartridge	Price per blade
Dollar Shave Club Humble Twin	2	\$0.60	\$0.30
Schick Hydro	5	\$1.68	\$0.34
Harry's	5	\$1.88	\$0.38
Dollar Shave Club Executive	6	\$2.25	\$0.38
Gillette Fusion ProShield	5	\$5.62	\$1.12

Schick was a traditional brand sold in supermarkets and owned by Edgewell Personal Care. In Europe, it used the brand Wilkinson.

Source: Esty and Fisher (2019), HBR Case 9-720-378.

Should have Gillette cut prices?

- The market for men's shaving was **declining**, because men shaved less often and spent more money on toiletries and parfums
- Gillette launched Gillette Shave Club in 2015, trying to replicate DSC and Harry's model, but without reducing prices. This club had **very limited success**
- Equity analysts were complaining that Gillette **was not listening to customers** and that "super premium innovation" was not the only way to win in the product category
- According to estimates, the **elasticity** of demand to price for Gillette's shaving products ranged between -0.50 and -1.10



Should have Gillette cut prices?

Let's apply our decision-making framework.

Actions \ Scenarios	Scenarios	
	???	???
Cut prices	?	?
Not cut prices	?	?

Should have Gillette cut prices?

Let's use the utility model and put appropriate numbers in the matrix.

Actions \ Scenarios	Scenarios	
	Demand is elastic	Demand is inelastic
Cut prices	?	?
Not cut prices	?	?

Should have Gillette cut prices?

What's the probability threshold for "Demand is elastic?"

Actions \ Scenarios	Demand is elastic	Demand is inelastic
Cut prices	100	-300
Not cut prices	0	0

Benefits of increased demand

Wide range of elasticities that are smaller than $|1|$ and negative effect on margins

Should have Gillette cut prices?

Based on our analysis, Gillette should have cut prices if it believed that there was a greater probability than 75% that demand was elastic enough.

So, Gillette needed:

- A theory of how customers would react to price cuts -> **which one?**
- To collect insight from experts -> **probably supportive**
- To run experiments with cutting prices -> **how to run them?**

Why were Gillette customers moving to competitors?

The theory needed to address the reasons **why customers were leaving**.

If prices were the only reason, Gillette could find a price point at which customers would prefer to stay with Gillette (superior quality) than to adopt inferior brands.

But maybe they were not. An equity analyst said:

“The upstarts have become a real threat. Some of them are becoming very very big. It isn’t just a price point conversation: it has evolved into something about brand affinity. People want to be doing things their own way, there is a distrust of big brands. People feel are being smarter now, using a smarter, hipper brand”.

What did Gillette do?

In 2017, it reduced prices by about 12% on average and up to 20% on certain products.

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BUSINESS
Gillette, Bleeding Market Share, Cuts Prices of Razors
Top brand also plans to add focus on its cheaper products as pressure mounts from online start-ups



Gillette Slashing Razor, Blade Prices By as Much as 20%

Gillette is changing course in hopes of stopping customers from migrating to shaving product start-ups like Dollar Shave Club and Harry's, and it has Wall Street scratching its head. WSJ's Andrew LaVallee explains on Lunch Break with Tanya Rivero. Photo:

UPCOMING EVENTS

12:30 PM - 2:00 PM EDT
The Future Of Transportation

12:00 PM - 5:00 PM EDT
WSJ Jobs Summit

12:30 PM - 2:00 PM EDT
The Future Of Health

ADD TO CALENDAR

What happened?

Shares of largest men's shaving brands in US men's grooming market
(Retail value)

Brands (Owner)	2015	2016	2017	2018	2019	2020
Gillette (Procter & Gamble Co)	18.7%	16.8%	14.5%	13.8%	13.0%	12.9%
Dollar Shave Club (Unilever Group)		2.1%	2.3%	2.5%	2.6%	2.7%
Schick (Edgewell Personal Care Brands LLC)	4.4%	3.6%	3.3%	3.0%	2.7%	2.4%
Harry's (HF Global Inc)	0.3%	0.5%	0.7%	1.4%	2.1%	2.3%
Bic (Société Bic SA)	2.0%	1.8%	1.7%	1.5%	1.4%	1.4%

Source: Passport. Men's grooming combines shaving, toiletries, and parfums

What would you suggest Gillette to do?

Apart from losing market share, the market as whole is shrinking.

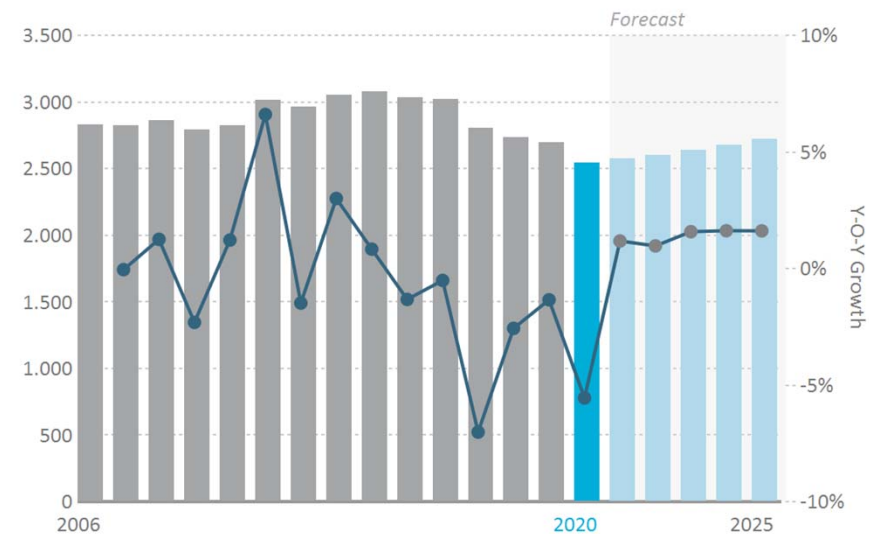
DSC has recently started distribution in stores.

Harry's has entered UK and has plans to enter other European countries.

What are Gillette's options?

Sales of Men's Shaving in USA

Retail Value RSP - USD million - Current - 2006-2025



6.0

SUMMARY OF MAIN POINTS



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In summary

- Understand what is a business level strategy
- Identify generic business strategies according to competitive scope and strategic position
- Cost-Leadership and Differentiation are distinct strategic positions.
- Value innovation will align the business strategy with total perceived consumer benefits, price, and cost.

THANK YOU



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